

Potential Acquisition of dESCO

A Comprehensive
Investment Analysis and
Forecast





Meet



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Our *Team*

Content *Overview*

Introduction to dESCO



Valuation



Industry Information



Debt Package



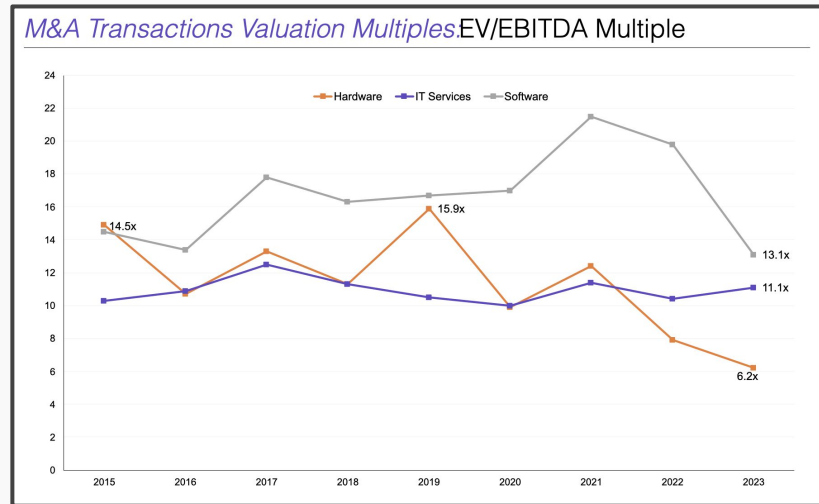
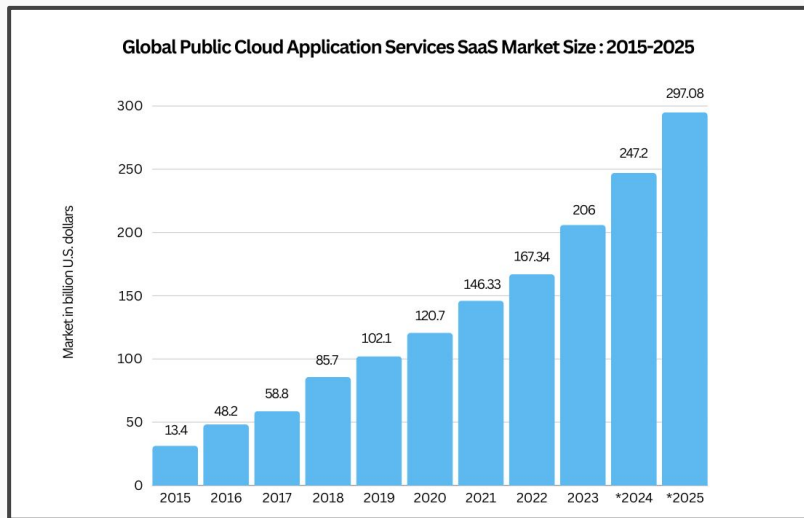
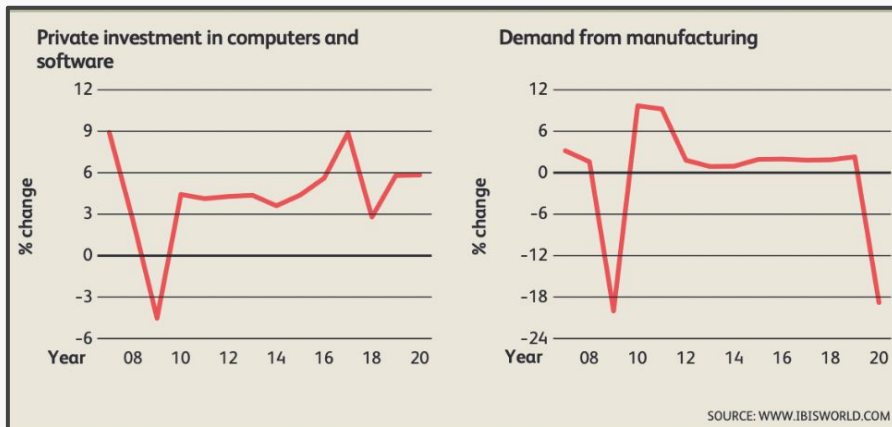
Financial Assumptions



Closing Information



Investment Thesis





SPOTLIGHT

Investment Thesis

dESCO Potential Acquisition

- Focused FSM provider serving HVAC, plumbing, and electrical contractors in under-digitized, fragmented markets
- Strong recurring revenue, high margins, and loyal customer base create a solid foundation for SaaS transition
- Plan to drive growth via guided migration, tiered pricing, and mobile add-ons to build a scalable, cloud-first platform

Top 4 Merits of Investment in dESCO

1. Compelling upside through transition to SaaS
 - a. Increase valuation from 2.4x to 7.4x
2. Established track record and broad product adoption
3. Vertical focus on HVAC, plumbing, electrical contractors
4. Low customer concentration, has a strong value proposition



Top 4 Risks of Investment in dESCO



1. Dependence on aging, on-premise software
2. Growing competition from well-funded, cloud-native players
3. Relies heavily on HVAC sector
 - a. HVAC sector consists of 65% of its revenue
4. User in less tech-savvy SMBs have difficulty with using it

Industry Information

- Rapid Market Growth: Projected to surpass \$2.5B by 2018, growing at a 13% CAGR.
- Massive SaaS Penetration Opportunity: SaaS adoption among SMBs in HVAC, plumbing, and electrical remains <25%.
- Recession-Resilient Vertical, Strong Unit Economics: FSM serves essential, labor-constrained trades with recurring demand. SaaS FSM platforms like benefit from >70% gross margins, high retention, and strong pricing power

Key Statistics Snapshot

Revenue

\$707.1m

Profit

\$84.1m

Annual Growth 09-14

10.2%

Wages

\$178.2m

Annual Growth 14-19

7.2%

Businesses

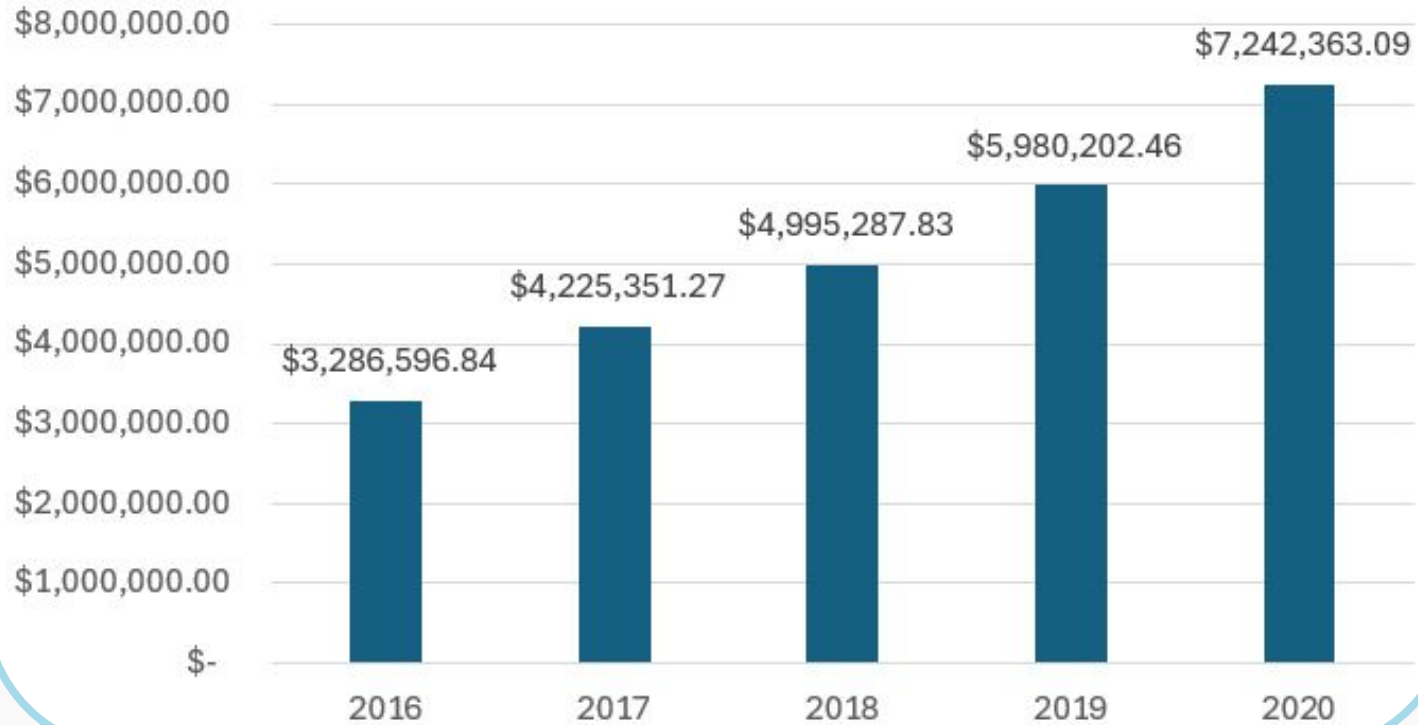
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Growth Rate Assumptions	Category
13.40% (CAGR)	ESC Licences
20% (CAGR)	ESC Accounting
2.67% (CAGR)	ESC Maintenance Customers
3.71% (CAGR)	ESC Maintenance Customers Lost
9.20% (GEOMEAN)	ESC Maintenance Churn Rate
20% (forecasted growth rate)	ESC Mobile Customers
24% (forecasted growth rate)	ESC Mobile Users
28% (forecasted growth rate)	ESC Mobile Users Lost

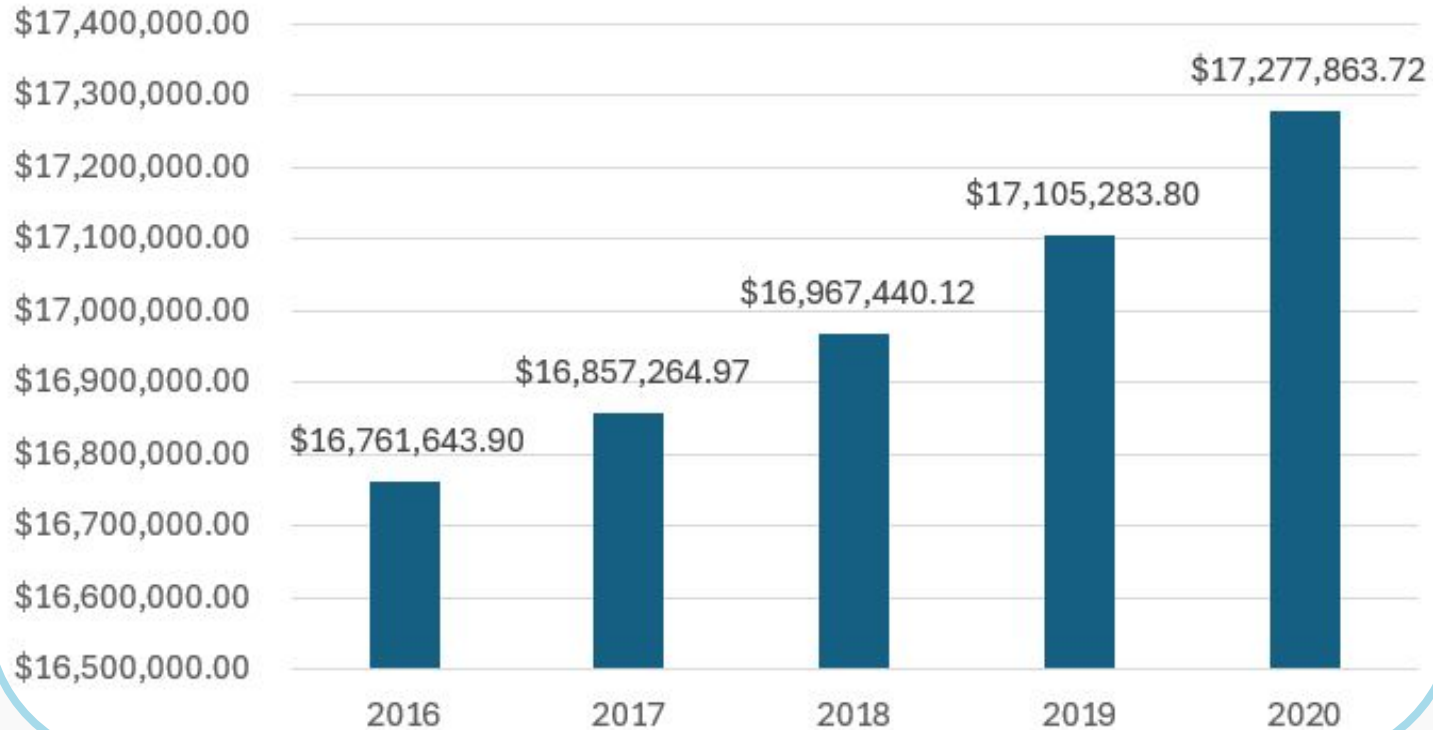
Growth Rate Assumptions	Category
6.16% (GEOMEAN)	ESC Mobile Churn Rate
22.86% (CAGR)	ESC Training Customers
8.45% (CAGR)	Total Number of Employees
-2.09% (CAGR)	Avg. ESC Licence \$ per Customer
-0.55% (CAGR)	Avg. ESC Accounting \$ per Customer
0.00% (Fixed)	ESC Maintenance \$ per Customer
0.00% (Fixed)	ESC Mobile \$ per Customer per Month
-0.72% (CAGR)	ESC Training \$ per Customer

CAGR Growth Rate (YoY)	Expenses	Other Assumptions	11
9.69%	Support Salaries	1. No expenses are capitalized	
9.14%	Marketing	2. Tax rate of 45%	
16.22%	Sales Payroll & Commission	3. Opening 2015 deferred revenue balance of \$1,250,000	
-1.37%	Development	4. Cash to remain in the business post transaction of \$500,000	
\$77,690	Took the average due to a highly fluctuating rate	5. Opening 2015 PP&E of \$100,000	
0.00%	Dean's Salary	6. Average annual depreciation of \$15,000	
8%	Overhead	7. Average A/R 10% of revenue	
		8. Average A/P 30% of non-payroll expenses	
		9. VP of Marketing makes \$70,000 per year	
		10. Overhead consists of rent, insurance, utilities, benefits	
		11. Sales rep salaries are \$35,000 per year	
		12. Non payroll marketing spend is on sales leads which have a ~20% chance of closing into a sale	
		13. Estimated transaction fees of \$200k for legal, \$50k for accounting, and \$10k for technical due diligence	

EBITDA (220.36% increase over 5 years)



Total Assets (3.07% increase over 5 years)



Closed Cash Balance (617.29% increase over 5 years)



Financial Covenants

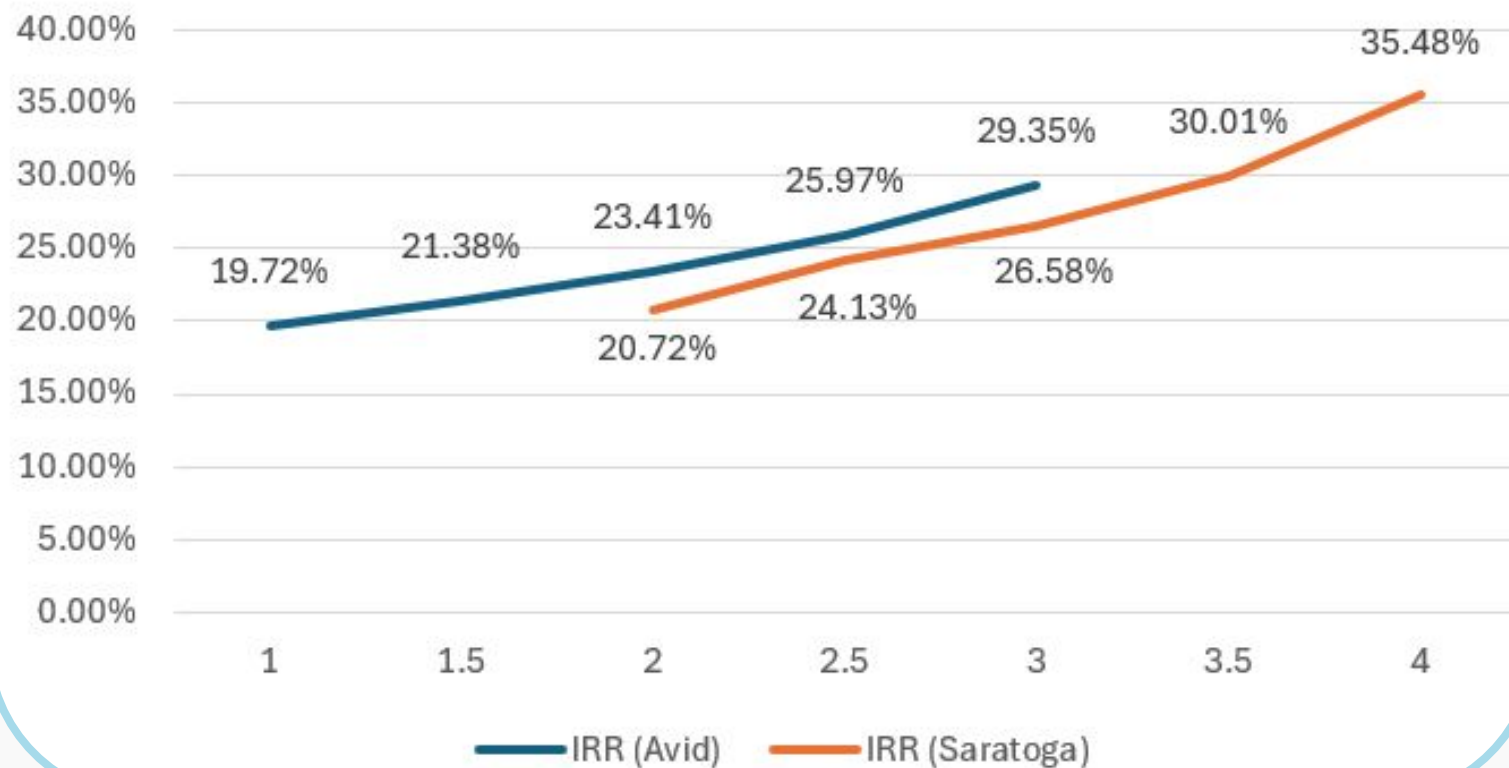
- Debt/EBITDA covenant breached for Avid bank option 5 and all of Saratoga options
- FCC Covenants breached for Avid bank option 4 and all of Saratoga
- Highest available leverage is on Avid bank option 3 which 2x Debt/EBITDA

AvidbankTM

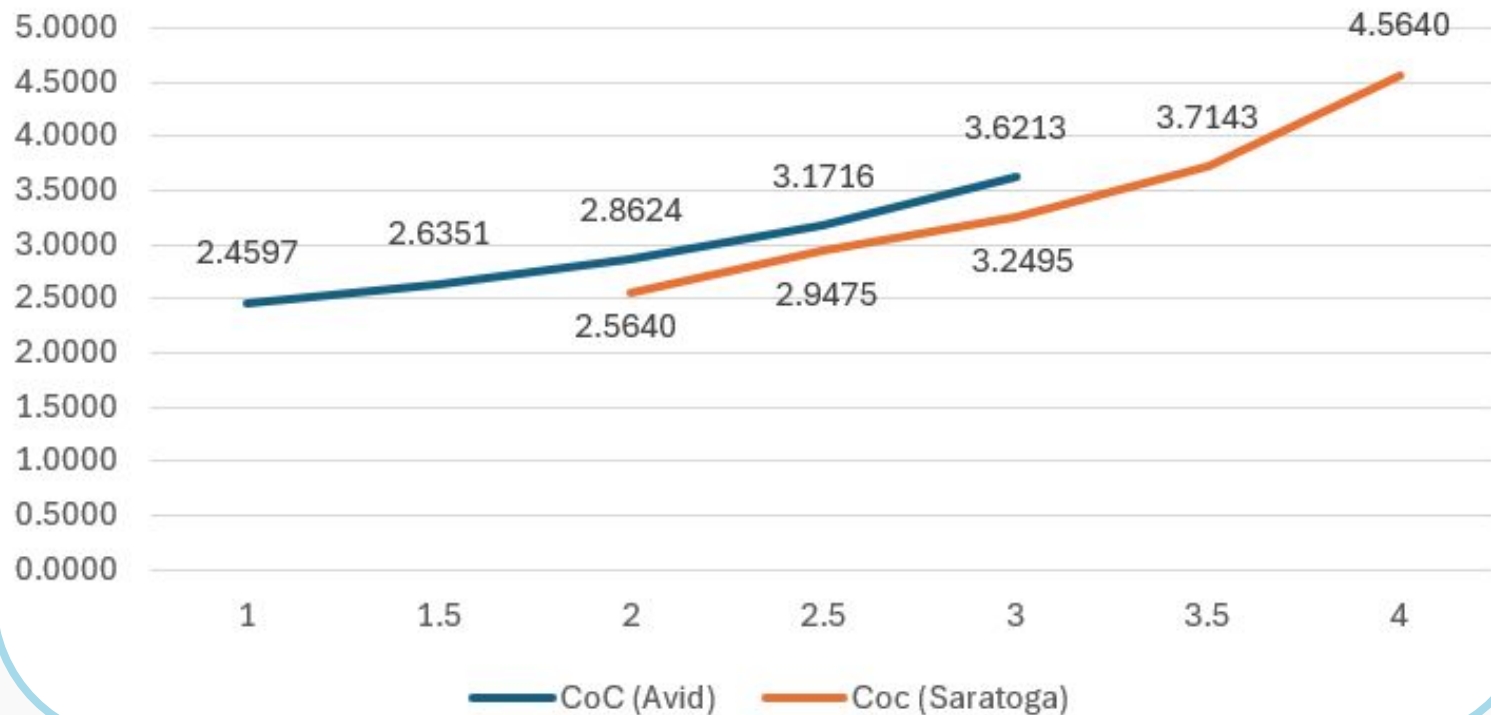
SARATOGA
BANK & TRUST COMPANY
NATIONAL



IRR per Debt/EBITDA Option per Bank



CoC per Debt/EBITDA Option per Bank



Valuation



EV/EBITDA				
3Q14	4Q14	1Q15	2Q15	3Q15
3.8x	3.0x	5.0x	5.4x	4.5x

Final Valuation

Comp Info (*Mind C.T.I.*)

- Grouped under “Billing & Services”
 - Focus on SMB to mid-market customers
 - Delivers billing and invoicing functionality tailored to their target market.
 - Offered SaaS in 2016-2017
-
- EV/EBITDA Multiple: 5.1x
 - Total Enterprise Value: \$16,761,643.90

Sources and Uses Table Year end 2016				
Sources	Amount	Uses	Amount:	
Long-term Debt	\$ 6,573,193.68	Cash	\$ 500,000.00	
Deferred Revenue	\$ 1,250,000.00	Accounts Receivable	\$ 820,236.59	
Common Shareholder's Equity	\$ 6,474,599.64	PPE	\$ 100,000.00	
Retained Earnings	\$ 1,799,378.26	Licensing Software	\$ 5,000,000.00	
Accounts Payable	\$ 664,472.31	Goodwill	\$ 10,341,407.31	
Total Sources	\$ 16,761,643.90	Total Uses	\$ 16,761,643.90	

Base, Upside, Downside

Upside

Base

Downside

Exit Multiple: 4.5x
Exit EBITDA: \$3.628M
Exit EV: \$16.33M
IRR: -0.87%
CoC Return: 0.9573x

Exit Multiple: 5.1x
Exit EBITDA: \$7.242M
Exit EV: \$36.936M
IRR: 23.41%
CoC Return: 2.86x

Exit Multiple: 9.0x
Exit EBITDA: 7.97M
Exit EV: \$71.73M
IRR: 46.74%
CoC Return: 6.40x

Debt Package

- Option 3 from Avid Bank selected for optimal balance of returns and risk
- Delivers 23.41% IRR and 2.86x cash-on-cash return over 5 years
- Structure: \$10.19M equity and \$6.57M debt at 6% interest, no revolver needed
- Highest leverage achievable without covenant breach based on model stress tests
- Simplified financing structure with strong projected returns



Top 5 Areas of Due Diligence

01

Product and
technology
resilience

03

Financial / QoE
and
working-capital
validation

05

Management
succession &
talent depth

02

Commercial
diligence:
Revenue quality
and Customer
dynamics

04

Market &
competitive
positioning

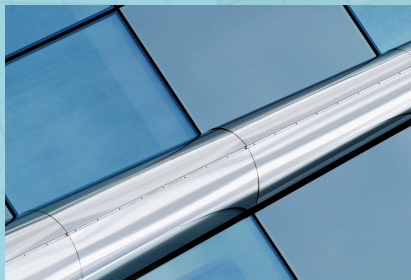
Recap of the 15-Minute Conversation



- Why is development expense going down?
- Is there a reason marketing expense has not been going up?
- What is development spending being spent on specifically?
- Why are overhead expenses growing so fast
- Is Dean interested in complete retirement or would there be any interest in an advisory role?
- Does Dean have a personal connection with many customers?

NEXT STEPS

Any Questions?



Thank you